

**Conditions of free movement of labour another EU
country, legal and tax obligations of foreign company
operating in Germany: the case of Slovakia.**

BACHELOR THESIS

Thesis supervisor:
Prof.Ing.Lubmir Lacina, Ph.D

Michal Sukupčák

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Declaration of Honor

I hereby declare that, this thesis entitled **Conditions of Free Movement of Labor in Another EU Country, Legal and Tax Obligations of a Foreign Company Operating in Germany: The Case of Slovakia**, was written and completed by me. I also declare that all the sources and information used to complete the thesis are included in the list of references. I agree that the thesis could be made public in accordance with Article 47b of Act No. 111/1998 Coll., Higher Education Institutions and on Amendments and Supplements to Some Other Acts (the Higher Education Act), and in accordance with the current Directive on publishing of the final thesis.

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Abstrakt

SUKUPČÁK, Michal: Podmienky voľného pohybu pracovnej sily v inom členskom štáte EÚ, právne a daňové povinnosti zahraničnej spoločnosti pôsobiacej v Nemecku: prípad Slovenska. [Bakalárska práca] / Michal SUKUPČÁK – Mendelova univerzita v Brne, Provozne ekonomická fakulta. – Vedúci práce: prof. Ing. Lubor Lacina, Ph.D. – Úroveň akademickej kvalifikácie: Bakalár. – Brno: FBE, 202. 54 s.

Táto bakalárska práca sa zaoberá predpismi Európskej únie, konkrétne zameranými na právne a daňové povinnosti pre slovenských podnikateľov pôsobiacich v Nemecku. Komplexne analyzuje potrebné dokumenty a informácie dôležité pre týchto podnikateľov a ich zamestnancov. Literárna rešerš voľný pohyb osôb a služieb v rámci krajín EÚ a právne rámce, ktoré tieto slobody regulujú. Štúdia porovnáva daňové systémy na Slovensku a Nemecku, pričom poukazuje na rozdiely v daniach z príjmov a odvodoch na sociálne a zdravotné poistenie prostredníctvom prípadových štúdií samostatne zárobkovo činných osôb ako sú Ján a Tomáš. Analytická časť hodnotí rôzne daňové scenáre pre tieto osoby s cieľom identifikovať a predchádzať bežným chybám pri odvádzaní daní, sociálnych a zdravotných odvodov. Práca prináša poznatky v oblasti pôsobenia na pracovnom trhu EÚ.

Kľúčové slová

Voľný pohyb pracovnej sily, právne povinnosti, daňové povinnosti, zahraničné spoločnosti, Slovensko, Nemecko, EÚ.

Abstract

SUKUPČÁK, Michal: Conditions of free movement of labor another EU country, legal and tax obligations of foreign company operating in Germany: the case of Slovakia. [Bachelor thesis] / Michal SUKUPČÁK – Mendel University in Brno, Faculty of Business and Economics; Department of Finance. – Thesis supervisor: prof. Ing. Lubor Lacina, Ph.D. – Level of academic qualification: Bachelor. – Brno: FBE, 202. 54 p.

This bachelor thesis delves into the European Union regulations, specifically focusing on the legal and tax implications for Slovak businesses operating in Germany. It comprehensively analyses the necessary documents and information crucial for these businesses and their employees. The theoretical part of the thesis outlines the freedom of movement for labour and services across EU countries and the legal frameworks governing these freedoms. The study compares the tax systems in Slovakia and Germany, highlighting the differences in income tax and social security contributions through case studies of self-employed individuals like Ján and Tomáš. The analytical section evaluates various taxation scenarios for these individuals, aiming to identify and prevent common reporting errors and tax discrepancies. The thesis contributes significant new insights to the field of EU market operations, providing empirical, data-driven understanding beneficial for businesses navigating the complex European market.

Keywords

Free movement of labour, legal obligations, tax obligations, foreign companies, Slovakia, Germany, EU.

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1 INTRODUCTION

The European Union (EU) landscape has undergone remarkable transformations since its inception in the early 1950s. Initially focused on regulating essential post-war commodities like coal and steel, the EU has expanded its reach to establish a unified internal market under the Maastricht Treaty of 1993. This crucial Treaty interconnected the European Single Market and ensured the four fundamental freedoms for EU member states' citizens: the free movement of goods, services, capital, and persons. These freedoms, while beneficial, have also created a complex regulatory framework that businesses must navigate to fully capitalize on the benefits of the EU. (Kenton, 2021)

This thesis concerns the freedoms of services and labour mobility and their implications for Slovak businesses operating in Germany. Based on the Treaty on the Functioning of the European Union (TFEU), this exploration delves into the legal rights of companies established in any EU member state to provide services and deploy workers throughout the union. Nevertheless, this cross-border freedom brings various legal and tax obligations, which businesses must understand and navigate to fully capitalize on the benefits of the EU's intricate regulatory framework.

The focus is to demystify these obligations for Slovak enterprises active in Germany, offering an in-depth guide on the requisite legal documentation and fiscal responsibilities accompanying cross-border service provision and worker dispatch. Despite the European Single Market's promise of freedom of movement for services and personnel, businesses and their employees are bound by numerous regulations to ensure the lawful deployment of staff for service provision in another member state.

Highlighting the 30th anniversary of the European Single Market, recent data reveal that 24 million businesses operate within its boundaries, with 17 million EU nationals living or working outside their home countries. Germany stands out as a key destination for migrants seeking employment or as posted workers—employees sent by their employers to temporarily work in another country. This phenomenon underscores the European Single Market's extensive opportunities for cross-border business activities, providing a

positive outlook for businesses operating within its framework. (30th Anniversary: What Has the Single Market Brought European Consumers?, 2023)

This thesis unfolds in two main sections: a literature overview and an analytical-informative examination. The literature overview explores the underlying motivations for businesses to dispatch workers abroad and assesses the safety conditions for self-employed individuals versus employees in another EU member state. The analytical-informative segment equips businesses with the necessary documentation and knowledge to effectively navigate the EU's legal and fiscal terrain regarding worker dispatch.

Aiming to bridge the gap between research and practice, the researchers designed the study to, this thesis seeks to equip Slovak businesses with a thorough understanding of their obligations and opportunities when operating in Germany, set against the backdrop of the European Single Market. This timely investigation is essential for businesses striving to maximize the benefits of the EU's integrated economic space while ensuring compliance and strategic success in their cross-border initiatives.

Main objective and research questions

The main objective of the thesis is to identify the documents and information required for these entities to operate effectively within the German regulatory environment and quantify the tax burdens associated with their incomes in Germany and Slovakia. The research questions formulated in this thesis are:

1. What are the current requirements for documentation and information necessary for Slovak businesses and self-employed individuals for their legal activities in Germany?
2. How does the taxation of incomes generated in Germany and Slovakia differ for these entities?
3. What are common management and reporting errors that businesses make during cross-border operations, and how can these be prevented?

4. What strategies should Slovak businesses implement to improve the management of their cross-border operations and optimize their tax obligations?

2 OVERVIEW OF THE INTERNATIONAL BUSINESS ENVIRONMENT

The landscape of international business encompasses various commercial transactions that cross national borders. As Ike (Ike, 2017) briefly captures the essence of international business, stating, „*all commercial transactions, including sales, investments, and transportation that take place between two or more countries*“. This quote highlights international business's complexity and crucial role in promoting global economic interconnectivity.

The German business ethos, emphasizing fairness, loyalty, punctuality, professionalism, and reliability, reflects the importance of cultural adaptability in international business, which is critical for Slovak businesses operating in Germany. (German Business Culture, 2024)

The concept of free movement within Europe, vital for labour mobility, was solidified by the Maastricht Treaty, granting EU citizens the right to live and work across the EU. „*Europe is host to a unique free-movement area in which barriers to international migration and mobility are lower than anywhere else in the world.*“ (Koikkalainen, 2011)

„*The 1992 Maastricht Treaty took this a step further with the explicit introduction of ‘European Union citizenship’ giving all EU citizens the right to move to and reside in the territory of any of the member states, subject to the condition of sufficient resources mentioned above. This concept was further clarified in the 2004 Citizens Directive, which codified the evolved jurisprudence of the European Court of Justice. Importantly, the directive also provided for the equal right of treatment without conditions for EU citizens having resided for more than five years in another member state. The Citizens Directive is the main legislative instrument covering free movement today.*“ (Barslund & Matthias, 2014, s. 17)

Understanding and navigating these legal frameworks is not just a necessity, but a powerful tool for Slovak companies in Germany. It enables them to manage labour supply, expand their market, and shape their overall business strategy. This understanding

empowers them to seize opportunities and overcome challenges, making strategic business planning a more confident and effective process.

Table 1: Number of European Free-Movement Area Citizens Residing Elsewhere in the Area, by Country of Destination

Country of residence	Number of Migrants	Share of Total (%)
Total	15339185	100,00%
Germany	4402596	28,70%
Spain	1649663	10,75%
Italy	1477974	9,64%
France	1392652	9,08%
Switzerland	1378935	8,99%
Belgium	924747	6,03%
Austria	764603	4,98%
Netherlands	538963	3,51%
Norway	364277	2,37%
Ireland	345972	2,26%
Sweden	344760	2,25%
Denmark	237137	1,55%
Czechia	236849	1,54%
Luxembourg	223887	1,46%
Other	786965	5,13%

Source: Koikkalainen, Borderless Europe: Seven Decades of Free Movement, 2021

Integrating European markets through policies supporting free movement enhances the EU's competitiveness in the global economy. It facilitates the allocation of resources, boosts economic output and innovation, and plays a crucial role in addressing structural unemployment. For companies operating within this framework, adapting to the regulatory environment and leveraging the advantages of a diverse and mobile workforce is vital to achieving success on the international stage. (Letta, 2024)

As we sink deeper into the complexities of international business, it becomes clear that navigating the interconnections of legal, economic, and cultural landscapes requires a subtle understanding of both global trends and local specificities.

The German business culture, focusing on precision and reliability, is a prime example of how cultural values can shape business practices and contribute to a company's international success.

2.1 The significance of dispatching workers for global expansion

The free movement of persons within Europe presents many opportunities for international business, including labour mobility, talent acquisition, and market expansion. Despite recent challenges, the potential for growth and expansion in the European market remains significant. Navigating the complex legal, political, and economic landscape is challenging, but understanding the evolution of free movement and its contemporary challenges is a crucial step for companies looking to leverage this potential. (Sethi & Guisinger, 2002)

The strategic importance of dispatching workers abroad is a cornerstone of global business, offering a multifaceted advantage for companies aiming to expand their global footprint. Sethi and Guisinger (2002) highlight the strategic significance of dispatching workers abroad, noting, „*In the globalized business landscape, dispatching workers abroad represents a strategic lever for international firms aiming to enhance their global footprint*“. (Sethi & Guisinger, 2002) This process facilitates expansion, promotes knowledge transfer, and develops cross-cultural competencies, empowering companies to maintain a competitive edge.

The robustness of free movement within Europe has been tested in recent years. The United Kingdom's departure from the EU, driven by concerns over intra-European migration and the imposition of border restrictions during the COVID-19 pandemic, highlights the ongoing challenges facing this fundamental EU principle. These events underscore the tension between national sovereignty and European solidarity, questioning the future of free movement. (Koikkalainen, 2021)

Sending employees on international assignments brings numerous benefits, including deepening client relationships through personal interactions, gaining competitive insights, and broadening the company's network. These opportunities are instrumental in understanding new markets and clientele, significantly contributing to product and service promotion and encouraging internal benefits like professional development, which, in turn, can enhance the working environment and staff retention. (An Employer's Guide to Successful International Assignments, 2021)

Germany's Skilled Immigration Act, implemented in March 2020, exemplifies its strategic approach to addressing skilled labour shortages and enhancing its appeal to international businesses. This policy broadens the definition of 'skilled' workers, allowing a more comprehensive range of qualified professionals from non-EU countries to pursue employment opportunities within Germany. (Labour migration policies, 2022)

This legislative move indicates Germany's commitment to promoting a dynamic and inclusive labour market conducive to international business growth.

In light of these observations, dispatching workers abroad is not just a logistical operation but a strategic initiative that requires careful consideration of its opportunities and challenges. Understanding and leveraging these dynamics can provide substantial benefits for companies looking to thrive in the global market, reinforcing the importance of strategic planning and support in international business initiatives.

2.2 The difference between posted worker and migrant worker

Understanding the difference between posted and migrant workers is crucial for comprehending labour mobility within the European context. The European Commission (European Commission) provide detailed insights that help identify these two categories:

Table 2: Difference between Posted Worker and Migrant Worker

Feature	Posted Worker	Migrant Worker
Definition	Employed in one EU state, sent to work temporarily in another, often within service provisions.	Relocate to find employment, with a more permanent outlook, integrating fully into the host country's systems.
Regulation	Subject to host countries labour laws (e.g., minimum wage, working conditions) but remain within home country's social security system. Aimed at equitable treatment and preventing social dumping.	Protected under international conventions and host country's laws, covering labour and social rights. Contribute to and benefit from the host country's social security system.
Nature of Posting	Temporarily assigned, expected to return home after contract ends.	Integrate into host society, often settling permanently, and may avail of family reunification.
Duration and Intent	Temporary dispatch to fulfill specific contracts.	Move with the intention often towards permanent resettlement.
Legal and Social Security Affiliation	Remain within home country's social security system, reflecting temporary nature.	Assimilate into the host country's system, indicating more permanent integration.
Rights and Protections	Enjoy labour rights protections, but scope and nature vary due to temporary legal status.	Enjoy a broader scope of labour rights protections, due to permanent integration and legal status.

Source: Sukupčák, Difference between Posted Worker and Migrant Worker, 2024. Based on (Employment, Social Affairs & Inclusion - Posted workers) and (International Convention on the Protection of the Rights of All Migrant Workers and Members of Their Families) visited on 19.3.2024.

3 LEGAL AND TAX FRAMEWORKS OF DISPATCHING WORKERS TO GERMANY

International business success in Germany depends on understanding and integrating into the local business culture. Key aspects such as the significance of punctuality, the formal approach to business negotiations, and the emphasis on quality and reliability are intrinsic to the German business ethos. (German Business Culture, 2024)

Germany's critical role as a destination for posted workers within this framework underscores the importance of a comprehensive understanding of the EU's legal and tax regulations facilitating labour mobility. Germany's regulatory landscape is shaped by EU directives and national laws, creating a complex but structured environment for worker dispatching.

"An increase in labour mobility improves the allocation of resources, increases economic output and welfare" (Barslund & Busse, 2014, s. 18). This summarizes the economic rationale behind labour mobility within the EU, emphasizing its integral role in promoting economic growth and innovation.

3.1 Legal and economic environment in Germany

Germany offers a competitive tax environment and a secure economic framework attractive to international businesses, mainly through tax policies beneficial to multinational corporations. However, understanding the complex bureaucratic and legal landscape, which includes both EU and local regulations affecting business operations, is crucial. (Overseas business risk: Germany, 2021)

Based on the tradition of civil law, Germany's legal system provides a structured approach for foreign investors, requiring adherence to both EU and local regulations. *„German company law is formalistic, requiring notarisation and registration by the relevant commercial register, which is beneficial for foreign investors due to its transparency.“* (Steffen, 2022)

The Skilled Immigration Act, introduced in March 2020, is a testament to Germany's proactive approach to skilled labour shortages. This act has broadened the labour market's horizons by welcoming professionals from non-EU countries, enhancing its flexibility and attractiveness for international business operations. (Labour migration policies, 2022)

Establishing a business in Germany involves navigating specific legal obligations related to trade, tax, and social security, influenced by both EU law and traditional local regulations. While offering numerous opportunities, this regulatory environment presents challenges like skilled labour shortages and bureaucratic complexities that require strategic planning and compliance for successful business operations. (Doing business in Germany: Advantages and Disadvantages, 2020)

3.2 Legal obligations for a foreign company operating in Germany

a) Notification and registration requirements:

Depending on the nature of the business and the extent of physical presence in Germany, foreign companies may need to comply with notification or registration obligations. These requirements typically include registration with the trade register, adherence to tax and social security regulations, and possibly registration of a German branch with the commercial register. (Deloitte Legal - Doing business in Germany, 2022)

b) Capital requirements for different entity types:

The minimum share capital for a German GmbH (Limited Liability Company) is €25,000, while for a German AG (Stock Corporation), it is €50,000. Additionally, branches have no minimum share capital requirement, providing flexibility for foreign companies. (Setting up a business in Germany, 2022).

c) Foreign trade and payments act:

Germany encourages foreign direct investment (FDI) through a legal framework that promotes freedom of foreign trade and payment transactions. The Federal Ministry for Economic Affairs and Energy (BMWi) may review acquisitions of German domestic companies, particularly those involving non-EU/EFTA buyers, to assess potential threats to public order or security (Foreign Business in Germany).

d) Import regulations:

Importers in Germany, including foreign entities, generally do not require import permits or control declarations. However, certain goods, such as agricultural products, pharmaceuticals, and goods of strategic importance (Foreign Business in Germany), may be subject to import duties or restrictions (Foreign Business in Germany).

e) Expansion possibilities and business establishment:

Foreign companies can establish either wholly owned subsidiaries or branch offices in Germany. Subsidiaries operate as independent legal entities, while branch offices are part of the parent company and subject to its jurisdiction. Registration with the Commercial Register and competent trade office is necessary for both subsidiaries and branch offices (Expansion possibilities for foreign companies in Germany).

f) Taxation and accounting requirements:

According to German law, both subsidiaries and branches are subject to annual tax filings and accounting requirements. Subsidiaries generally face an average tax burden of approximately 15%. In contrast, branches may incur a higher tax burden, depending on the local trade tax rate and the parent company's legal form. (Setting up a business in Germany, 2022).

g) Exit Strategies:

Under certain conditions, the sale of shares in a subsidiary is generally tax-exempt in Germany, and the liquidation process takes approximately 12-15 months. Conversely, closing a branch is relatively straightforward and requires only notice in the commercial register, although asset transfers may be subject to taxation in Germany. (Setting up a business in Germany, 2022).

The evolving landscape of German legal and regulatory requirements, especially in the context of foreign investments, emphasizes the need for foreign companies to stay informed and compliant. *„The legal basis of German control of foreign investments is set out in the German Foreign Trade and Payments Act (Außenwirtschaftsgesetz – AWG) and AWW. Both pieces of legislation were subject to multiple revisions in order to comply with the specifications of the EU Screening Regulation.“* (Foreign Direct Investment Regimes Germany 2024, 2023) The recent adaptations in the German Foreign Trade and Payments Act (AWG), prompted by global geo-economic challenges and the EU's push towards technological sovereignty, have introduced more stringent controls on foreign investments, particularly those originating from non-EU/EFTA regions. This includes a broadened scope for review and lowered thresholds for intervention by the BMWi, particularly in critical sectors such as defence, technology, and infrastructure. (Foreign Direct Investment Regimes Germany 2024, 2023)

Moreover, *„since 2017, legal entities (juristische Personen) under German private law and registered partnerships have been required to file beneficial ownership information for registration in the German transparency register. To prevent double filings to multiple registers, this filing obligation is deemed fulfilled if the relevant beneficial ownership information is available in electronic form in certain other German registers, e.g., in shareholders lists retrievable via the German commercial register (“notification fiction”) (§ 20 (2) sentence 1 of the German Anti-Money Laundering Act (Geldwäschegesetz – GwG)“.* (GERMAN TRANSPARENCY REGISTER ON BENEFICIAL, 2021)

The introduction of the German Transparency Register and Financial Information Act has significantly expanded the reporting obligations for German and foreign entities,

especially those involved in real estate transactions in Germany. The changes mandate that direct and indirect real estate acquisitions by foreign entities be reported, aiming to enhance transparency and combat money laundering. The transition of the transparency register to a comprehensive register marks a significant shift, necessitating detailed reporting of beneficial ownership information by almost all domestic companies and extending reporting obligations to foreign companies under specific conditions. Non-compliance with these regulations may result in substantial administrative fines and public disclosure of non-compliance. (Dorr, Beitler, & Breitenbücher, 2023)

Additionally, foreign employers hiring in Germany must navigate social insurance registration requirements, ensuring compliance with EU regulations regarding employee social insurance obligations. Understanding the intricacies of these regulations, including potential exemptions and tax treaties, is crucial for foreign companies employing staff remotely in Germany or considering establishing a physical presence in the market. (Rizzo, 2023)

By diligently adhering to Germany's comprehensive legal framework and staying abreast of regulatory updates, foreign companies can navigate the complexities of operating in one of Europe's largest and most dynamic markets, ensuring legal compliance and promoting successful business ventures.

3.3 Tax, health and social contributions in Germany

Taxation is crucial in shaping any country's economic and social landscape, and Germany is no exception. With its comprehensive tax system, Germany raises revenue to fund essential public services, infrastructure, and social welfare programs. Understanding the intricacies of tax regulations in Germany is vital for individuals and businesses alike to navigate the system effectively. (Elter, 2024)

In Germany, the government relies on various taxes to fund public spending for the common good, including social security, education, healthcare, and transportation infrastructure. Germany's tax system is guided by fairness, ability to pay, and transparency, aiming to distribute tax burdens equitably based on income levels and ensure transparent

tax regulations. For instance, the income tax structure is designed to be progressive, ensuring that those with higher earnings contribute a fairer share to the public coffers. This principle supports the notion of solidarity within the tax system, ensuring that the tax burden is shared appropriately among residents and businesses. (Federal Ministry of Finance, 2023)

According to Constanze Elter (2024), the primary principles of the tax system in Germany are outlined as follows:

a) Ability to pay:

The ability to pay principle ensures that individuals with similar incomes contribute proportionally to their earnings. Those with higher incomes are subject to higher tax rates, while low-income earners benefit from reduced tax liabilities. Individuals are only taxed if their income exceeds a certain threshold, with a minimum subsistence level exempt from taxation. Additionally, parents receive an annual tax credit of €7,620 per child.

b) Fairness:

Fairness in taxation means that taxpayers perceive the tax system as equitable. This principle encourages acceptance and compliance with tax regulations among the populace.

c) Transparency:

Taxation laws, regulations, and administration should be transparent and understandable to all taxpayers, promoting trust and compliance.

d) Income tax for all:

Income tax is levied on individuals earning above €9,168 per year, ensuring contributions towards the community. The tax system employs a linear progressive scale, where higher income levels are subject to higher tax rates. For 2022, taxable income between €10,909 and €62,809 for singles (€21,816 to €125,618 for couples) is taxed

at rates ranging from 14% to 42%. Incomes exceeding €277,826 for singles and €555,620 for couples are taxed at 45%. Expatriates may also be subject to a solidarity surcharge of 5.5% on their tax.

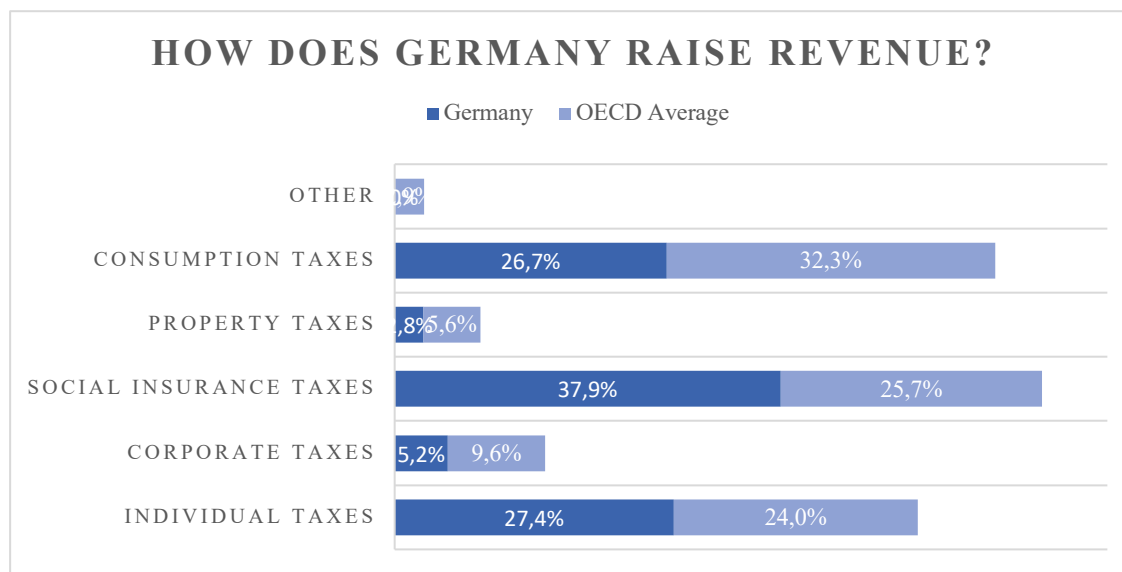
e) Expatriate taxation:

Expatriates living in Germany may be subject to German taxes, particularly on German-source income. The tax system resembles structures in other Western countries, with taxes withheld from paychecks throughout the year and adjustments made annually.

According to the German Basic Law (Grundgesetz, 2022), taxes in Germany are distributed among the federation, individual federal states (Länder), and municipalities according to the following principles: Revenue from customs duties, consumption taxes, motor vehicle taxes, capital transaction taxes, and non-recurring levies flow to the federation, while property tax, inheritance tax, and transaction taxes are primarily allocated to states (Länder) and municipalities. Income and corporation taxes are shared among the federation, Länder, and municipalities, ensuring a fair balance and uniform living standards throughout the federal territory.

This structure is a significant source of revenue for the government, funding essential public services and infrastructure. The main categories of tax revenues in Germany include progressive income tax rates for both federal government and states, business taxes such as corporation taxes and surtaxes, and consumption tax like VAT, collected at different rates for various goods and services. Other taxes, such as customs duties, road freight tax, motor vehicle tax, and taxes on capital transactions, also contribute to tax revenues, supporting the robust public service sector in Germany. (Taxes in Germany)

Graph 1: How does Germany raise revenue?



Source: (Tax Foundation, 2024, Taxes in Germany, available from: <https://taxfoundation.org/location/germany/>, visited on 19.3.2024.)

Corporate taxation

Foreign companies operating within Germany are subject to a comprehensive tax regime, which is significantly characterized by the Corporate Tax Act (Körperschaftsteuergesetz — KStG) and the Trade Tax Act (Gewerbesteuer — GewStG). This regime is designed to integrate seamlessly with international tax agreements and the broader European Union directives, ensuring that domestic and international firms can operate on a level playing field.

a) Corporate tax (Körperschaftsteuer):

„Germany taxes its corporate residents on their worldwide income. However, most double tax treaties (DTTs) exempt income attributable to a foreign permanent establishment (PE). Non-residents with PE or property income are taxed by assessment on German-source income; those earning royalties and dividends are taxed by withholding at source. Interest paid abroad is, in most cases, free of German tax altogether. Corporation tax is levied at a uniform rate of 15% and is then subject

to a surcharge of 5.5% (solidarity surcharge). This results in a total tax rate of 15.825%. “ (Corporate - Taxes on corporate income, 2023)

b) Trade tax (Gewerbesteuer):

Trade tax adds a layer of fiscal obligation, calculated by applying a base rate of 3.5% to a company's profits. This base rate is subject to adjustment by a municipal multiplier (Hebesatz), which varies significantly across different municipalities. Consequently, trade tax rates can range from 8.75% to 20.3%, depending on the business's location and the local municipal regulations. This variance underlines the importance of strategic location planning for companies to optimize their tax obligations. (Augustin)

c) Global anti base erosion (GloBE) rules - Pillar two:

Aligning with OECD's Pillar two model rules and the EU Directive, Germany has implemented the GloBE rules targeting large multinational enterprises (MNEs) with consolidated revenues exceeding €750 million. These rules are designed to ensure that MNEs pay a minimum level of tax on all earnings, applicable from business years starting after December 30, 2023. (Corporate - Taxes on corporate income, 2023)

d) Interest barrier and transfer pricing rules:

Germany enforces an interest barrier rule that limits tax deductions for interest payments, applicable to related and third-party payments. Exceptions are made if the company's overall indebtedness reflects the broader group's financial structure. Furthermore, Germany adheres to OECD transfer pricing guidelines, which require that transactions between affiliated entities across borders adhere to arm's length principles, ensuring fair and equitable taxation across international operations. (Corporate Tax Laws and Regulations Germany 2024, 2023)

e) Capital gains and group taxation:

Capital gains on corporate entities are 95% tax-exempt, with distributed dividends also subject to similar exemptions based on specific ownership criteria. Additionally, tax grouping allows for consolidating taxable profits within closely held German groups under particular conditions, including profit-and-loss pooling agreements. (Corporate Tax Laws and Regulations Germany 2024, 2023)

f) VAT and solidarity surcharge:

The standard rate of VAT in Germany is 19%, with a reduced rate applicable to certain goods and services. The solidarity surcharge, initially introduced to finance the reunification of Germany, is now set at 5.5% of the corporate tax burden but only applies to the top 10% of earners. (Augustin)

The tax framework for foreign companies in Germany is multifaceted, involving corporate and trade taxes and specific rules to ensure fair and equitable tax contributions. The introduction of GloBE rules aligns with global efforts to prevent tax avoidance, while interest barrier and transfer pricing rules emphasise compliance with international standards. The varying trade tax rates and capital gains tax policies underline the need for strategic planning based on location and structure. Understanding and adapting to this complex tax environment is essential for foreign companies operating in Germany, necessitating ongoing compliance and engagement with tax professionals to optimise tax positions and contribute effectively to the German economy. This dynamic tax landscape requires foreign companies to be well-informed and proactive in their tax management strategies.

Income tax and specific rules for expatriates

The European Union's principle of labour mobility significantly impacts individuals from member states, granting them the freedom to work across borders without a work permit. This principle facilitates cross-border employment, enhances the EU's economic

integration, and introduces intricate tax implications, particularly in Germany, which is known for its robust tax systems. Understanding these implications is crucial for workers to make informed decisions and manage their finances effectively.

a) Progressive income tax scales:

The income tax system in Germany is progressive, meaning that tax rates increase with higher income levels. This system is designed to ensure that those who earn more contribute a higher percentage of their income towards the nation's finances. Taxable income ranging from €11,604 to €57,918 is taxed progressively from 14% to 42%. For higher incomes, the rates could go up to 45% for individuals earning above €277,826. This progressive structure is crucial in balancing the tax burden among different income groups (Einkommensteuergesetz (EStG)).

b) Tax allowances and credits:

Germany offers various tax allowances and credits to alleviate the burden on taxpayers. One notable allowance is for parents, who receive an annual tax credit of €7,620 per child, significantly reducing their taxable income. Such benefits are part of Germany's efforts to support families and encourage demographic growth. (Elter, 2024)

c) Specific rules for expatriates:

Expatriates in Germany face unique tax considerations that go beyond those of local employees. Determining one's residency status is critical as it affects the extent of their tax liability. Germany provides specific tax benefits to ease the complexities of expatriate taxation, such as allowances for moving expenses and other reliefs under the Expatriate Tax Act. This act offers clarity and prevents double taxation, ensuring that expatriates are not unduly penalised by the tax system. (Expatriate tax - Germany, 2023)

The permanent establishment (PE) concept is particularly significant for expatriates, as their employment arrangements could inadvertently establish a taxable presence for their employer in Germany. Factors like having a fixed place of business, the permanence of the home office, and the nature of the work activities are crucial in assessing whether a PE is established. Companies must consider these factors to prevent potential tax liabilities (European Union – Remote Working and Corporate Taxation, 2022)

Labour Mobility and Tax Challenges:

Labour mobility within the EU has led to an increase in cross-border workers, which enhances the economic diversity and flexibility of the workforce. However, this mobility poses challenges, particularly in taxation, as workers and employers must navigate the complexities of double taxation agreements and social security coordination. The tax burden on labour across Europe varies significantly, with countries like Germany imposing higher taxes on labour income than others. This variation underscores the importance of understanding individual tax obligations, especially for those moving to Germany for work. (German lawmakers approve a plan to attract skilled workers to plug the country's labor gap, 2023)

Remote working trends, accelerated by the COVID-19 pandemic, complicate these tax considerations further, as remote workers in Germany could potentially trigger PE risks and dual tax residency issues for companies. Therefore, companies must assess their PE risk and dual tax residence in connection with employees working remotely. Considering how PEs can impact their business is necessary as the work landscape evolves. (European Union – Remote Working and Corporate Taxation, 2022)

Navigating the complex web of tax implications requires a deep understanding of local tax laws, double taxation agreements, and specific provisions for expatriates. Companies employing remote workers in Germany must be vigilant about the potential for establishing a permanent establishment and the associated tax obligations. As the work landscape evolves, staying informed and seeking expert advice will be vital to optimizing

tax outcomes for individuals and businesses alike. (European Union – Remote Working and Corporate Taxation, 2022)

3.3.1 Tax, health care and social contributions for self-employed individuals in Germany

Understanding the tax and social contribution requirements for self-employed persons in Germany is crucial, especially for those from Slovakia and other EU countries who plan to engage in cross-border service provision. The tax system for self-employed individuals in Germany is complex and requires careful navigation to ensure compliance and avoid potential legal issues.

a) Income tax:

Based on the Income Tax Act – Einkommensteuergesetz (EStG) (Einkommensteuergesetz (EStG)), tax rates in Germany are set as follows:

- 0% for incomes up to €11,604
- 14% - 42% for incomes from €11,605 to €57,918, where the rate increases linearly
- 42% for incomes from €57,919 to €274,612
- 45% for incomes exceeding €274,613 (Einkommensteuergesetz (EStG))

b) Solidarity surcharge (Solidaritätszuschlag):

Introduced to finance German reunification, the solidarity surcharge is an additional tax imposed on income tax, capital gains, and corporate taxes. As of January 2021, the threshold for the solidarity surcharge on income tax has been significantly raised, effectively relieving 90% of taxpayers from this burden. Self-employed individuals are only subjected to this surcharge if their total income tax in 2024 exceeds €18,130, substantially reducing the tax burden for most entrepreneurs and self-employed individuals. (German tax system & Taxes in Germany)

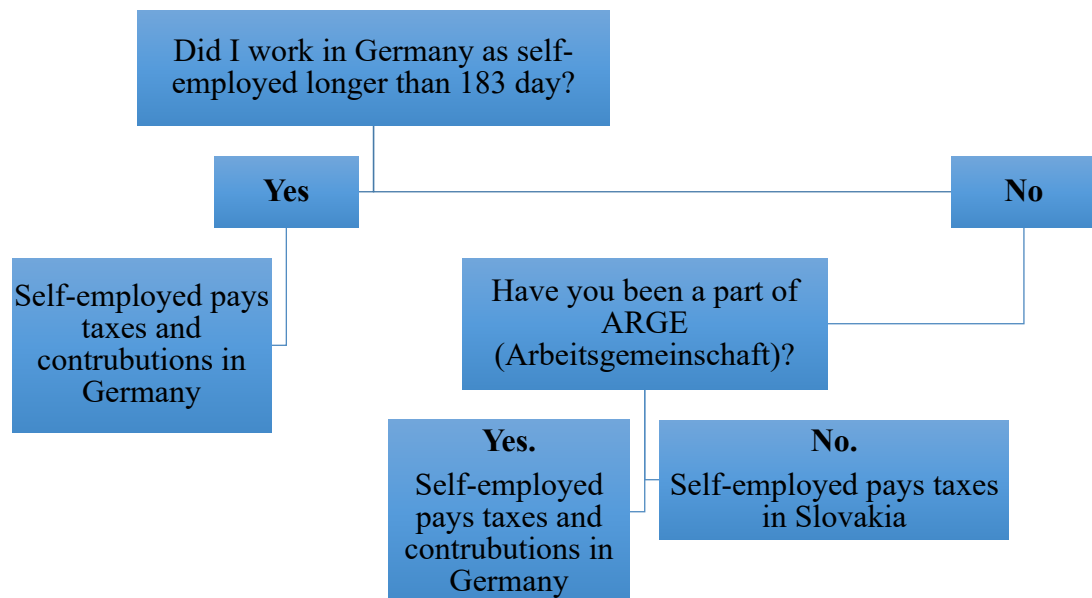
c) Value added tax:

Self-employed individuals in Germany are also required to handle VAT (Umsatzsteuer). They must charge VAT to their clients and remit this amount to the tax office through a process known as Umsatzsteuervoranmeldung (advance VAT return). Notably, if a self-employed individual's earnings do not exceed €22,000 in their first year and €50,000 in subsequent years, they qualify as a "small business" (Kleinunternehmer) and are exempt from the obligation to charge VAT to their clients. (Taxes for Freelancers and Self-Employed Workers in Germany)

Special considerations for cross-border self-employed persons

For Slovakian self-employed individuals working in Germany, it is essential to correctly determine where they will pay taxes, social security, and health contributions. This decision is influenced by several factors, including the length of their stay in Germany and the nature of their contracts. For example, suppose a self-employed person is working on a construction site in Germany for more than 12 months. In that case, they must establish a so-called permanent establishment with specific tax implications under German law. (Polician, 2021)

IMAGE 1: Determination of the Place of Taxation and Contributions for Self-Employed Persons Operating in Germany



SOURCE: Polician, Zdanenie SZČO v Nemecku

Social security contributions

Under the PD A1 form system, self-employed persons temporarily working in Germany can continue to be covered by Slovak social insurance, provided the duration of the work does not exceed 24 months and they are not replacing another dispatched worker. This arrangement helps avoid dual social security contributions and ensures continuity of social security coverage in their home country. (Seneši, 2015)

„The A1 form confirms the legal provisions of social security that apply to the holder during the relevant period. An individual who works as an employee or self-employed person in Slovakia and is dispatched to another EU member state, Norway, Iceland, Liechtenstein, or the United Kingdom (from now on referred to as the 'member state') to perform work may continue to be subject to the legal provisions of Slovakia, provided that the expected duration of this work does not exceed 24 months. It is not

dispatched to replace another dispatched person. “ (Portál elektronických formulárov Sociálnej poisťovne)

In conclusion, the tax landscape for self-employed individuals in Germany is structured yet adaptive, designed to effectively accommodate both domestic and EU workers. Self-employed individuals must navigate these rules carefully to optimize their tax positions and ensure they meet all regulatory requirements efficiently. Understanding these tax obligations and planning accordingly is essential for achieving successful and compliant business operations in Germany.

3.3.2 *Health insurance contributions for individuals working in Germany*

For self-employed individuals who will be working in Germany for less than three months and are citizens of an EU country, there is the flexibility to use the health insurance from their home country. However, for more extended stays in the country, it is required that the self-employed individual register with a German health provider. This empowers you to choose the best health insurance option for your specific needs and circumstances. (Health Insurance for Foreign Workers in Germany)

The cost of health insurance in Germany, while dependent on the self-employed individual's income and insurance type, offers a comprehensive range of benefits. Public health insurance covers standard medical care, including hospitalization, prescription drugs, preventive check-ups, mental health care, basic dental care, pregnancy care, and outpatient assistance. This ensures that you, as a self-employed individual, have access to high-quality healthcare services. Private insurance may offer extended services but typically costs more and does not automatically include family members. (Health Insurance for Freelancers & Self-Employed Individuals in Germany, 2020)

The cost of health insurance in Germany is approximately 14%, depending on the health insurance provider. The minimum contributions range from €160 - €190 per month. (Health Insurance Contributions for Self-Employed Persons, 2020)

Most self-employed individuals in Germany do not have to pay social contributions, as they are primarily responsible for their social security. However, there are exceptions,

such as certain groups of craftsmen or specific professions that may have a mandatory social insurance obligation. (Social insurance, 2022)

In conclusion, the health insurance system for self-employed individuals in Germany is both comprehensive and flexible, tailored to cater to the diverse needs of both domestic and EU workers. Those working temporarily can retain their home country's health insurance for up to three months, while longer stays require enrolment in a German health plan, providing a choice that best fits their situations. The system not only offers an extensive range of health benefits but also mandates health insurance contributions based on income, ensuring accessible and high-quality medical care. Although the majority of self-employed individuals are exempt from additional social contributions, certain professions have specific obligations. Navigating this system effectively is crucial for maintaining compliance and ensuring that one's health and social security needs are fully met in Germany.

4 INCOME TAX FOR SELF-EMPLOYED INDIVIDUALS IN SLOVAKIA

Understanding the Income Tax Act is crucial for self-employed individuals in Slovakia. This act governs the taxation of income from business or other independent gainful activity. It's important to note that individuals whose total taxable income exceeds a certain threshold must file an income tax return for the tax period. For the year 2023, this threshold is set at 2,461.41 euros. Income from a trade is categorized for tax purposes among income from a trade according to § 6 para. 1 letter b) of the Income Tax Act. (Daň z príjmov pre živnostníkov, 2024)

Income tax rates are a fundamental part of the tax system and significantly affect the financial situation of self-employed individuals in Slovakia. For the year 2023, these rates are set as follows:

- A 19% rate applies to the part of the tax base that does not exceed the sum of 41,445.46 euros. This number represents 176.8 times the amount of the valid subsistence minimum.
- A 25% rate applies to the part of the tax base exceeding 41,445.46 euros.
- Self-employed individuals with annual incomes up to 49,790 euros can enjoy the benefit of a reduced tax rate of 15%, which is a stimulus for small businesses and supports their growth and development. (Sadzba dane za rok 2023, 2023)

Self-employed individuals in Slovakia have the option of applying so-called flat-rate expenses. A taxpayer who is not a VAT payer or is a VAT payer only part of the tax period may apply flat-rate expenses of 60%:

- The total income from business and other independent gainful activity is at most 20,000 euros.
- From income from the use of a work and the use of an artistic performance, but not more than up to 20,000 euros.

When applying flat-rate expenses, all the taxpayer's tax expenses, except for the compulsorily paid insurance premiums and contributions to public social and health insurance, are included in the expenses. The taxpayer can apply for this paid insurance and contribute to expenses in the proven amount. This option allows self-employed individuals to reduce their tax bases effectively and thus their overall tax liability. (Výdavky percentom z príjmov)

The non-taxable part of the tax base (NTB) is a key component of the Slovak Republic's tax system. It provides taxpayers with the opportunity to reduce their tax base, potentially lowering their total income tax. For the year 2023, NTB allows taxpayers with a tax base up to 21,754.18 euros to reduce the tax base by 4,922.82 euros. For a tax base higher than 21,754.18 euros, NTB is calculated as 10,361.36 euros minus one-quarter of the achieved tax base. It's important to note that if this calculation would lead to a negative value, NTB is not applied.

4.1 Social and health contributions for self-employed individuals in Slovakia

Self-employed individuals in Slovakia are required to pay contributions to social and health insurance institutions, with the amount of these contributions varying depending on the business operation length and whether there is a combination of self-employment with employment, study, or maternity leave. Furthermore, it is essential to emphasize that from January 1, 2024, the insurance rate for health insurance for self-employed individuals increased from 14% to 15%. The obligation to pay contributions to social insurance arises only after a year of conducting business. However, self-employed individuals must pay contributions to health insurance from the beginning of their business activities, which in 2024 amount to € 97.80 per month. (Hôra, 2024)

After the first year of business operation, the amount of contributions is set as follows:

Social insurance:

- *„sickness insurance 4.4% of the assessment base,*
- *pension insurance 18% of the assessment base, if not a saver of old-age pension savings,*
- *disability insurance 6% of the assessment base,*
- *solidarity reserve fund with a rate of 4.75% of the assessment base“ (Platiť poistné – Samostatne zárobkovo činná osoba (SZČO), 2024)*

Health insurance

Regarding health insurance, self-employed individuals pay contributions straight when they start their business, except for students, mothers on maternity leave, retirees, or if the business is combined with employment. The minimum monthly contribution to health insurance 2024 is € 97.80, corresponding to 15% of the minimum assessment base of € 652. (Hôra, 2024)

Assessment base:

The assessment base for calculating contributions is determined from the partial tax base, not reduced by paid contributions. It is adjusted by a coefficient of 1.486 and divided by 12 to determine the monthly amount. This mechanism allows for flexible adaptation of the amount of contributions to the actual financial situation of self-employed individuals. (Vymeriavací základ, 2022)

In conclusion, Slovakia's regulatory framework for self-employed individuals is structured to adapt to various work-life scenarios, including combinations with employment, study, or maternity leave. From 2024, the health insurance rate for self-employed persons has increased to 15%. Social insurance contributions start after one year of business, whereas health insurance payments are required from the beginning. The calcu-

lation of contributions is based on a clear assessment base, ensuring fairness and adaptability to the financial realities of self-employed individuals. This system emphasizes the importance of timely and accurate compliance to maintain both social and health security.

5 COMPARATIVE ANALYSIS OF SELF-EMPLOYED CONTRIBUTIONS FOR JÁN AND TOMÁŠ

The following section of the thesis refines the financial analysis of Ján, a self-employed individual in Slovakia. It contrasts his tax and contribution obligations during the initial 12 months of self-employment with the subsequent period. This analysis aims to underscore the fiscal changes that occur as Ján transitions from the introductory phase of his business into a more established operational phase. Additionally, this part introduces Tomáš, another Slovak self-employed individual working in Germany, setting the stage for a comparative analysis between different tax jurisdictions in subsequent sections.

Profile of participants

Ján is a self-employed individual based in Slovakia. He has been successfully operating as a sole proprietor for over a year, demonstrating his experience and stability in his business. Ján is single and doesn't have children.

Tomáš is a Slovak self-employed individual operating in Germany. He is registered as a self-employed worker in Germany and complies with local tax and insurance regulations. Tomáš is single and doesn't have children.

Financial Overview

Both individuals reported an income of €40,000 for the year, with deductible business-related expenses amounting to €17,200.

Tax and contribution framework

Slovakia (Ján):

Social and Health Insurance Contributions: Slovakia Contributions depend on the duration of self-employment. For those self-employed for less than one year, different

initial rates may apply, which will transition to standard rates after one year. The standard rates include health insurance and various social contributions such as pension and disability insurance.

Income Tax: Slovakia employs a progressive tax system with two brackets. After accounting for business expenses and personal allowances, the applicable tax rates will depend on the taxable income.

Germany (Tomáš):

Social and Health Insurance Contributions: As a self-employed individual in Germany, Tomáš is required to cover his own health and pension insurance. The contributions are based on income and chosen insurance funds. Unlike in Slovakia, there is a distinction between compulsory public health insurance and optional private insurance.

Income Tax: Germany also uses a progressive tax system. The rates and tax brackets are predefined by the German Income Tax Act (Einkommensteuergesetz), with additional contributions such as the solidarity surcharge, which may apply depending on the income level.

Objective

This case study aims to provide a detailed comparison of the financial responsibilities in terms of taxes and mandatory contributions between Ján and Tomáš, highlighting the differences in fiscal policies between Slovakia and Germany that affect self-employed individuals.

Methodology

Ján and Tomáš will be calculated based on their respective country's tax and insurance regulations. The study will compare the same income level and deductible expenses. This approach will help isolate the impact of different national policies on self-employed individuals' net income.

Expected Outcomes

The case study is expected to reveal:

- The net income disparity arises from different Slovakian and German tax and contribution structures.
- Insight into the financial advantages or disadvantages of operating as a self-employed individual in each country.
- Understanding how national fiscal policies can impact the financial health of self-employed individuals.

Conclusion

Upon completion, this study will provide valuable insights for current and prospective self-employed individuals about the financial implications of working in Slovakia versus Germany, helping them make informed decisions regarding their business operations and location.

5.1 Financial analysis of Jan's self-employment in Slovakia

The following section of the thesis refines the **financial analysis** of Ján, a self-employed individual in Slovakia. It contrasts his tax and contribution obligations during the initial 12 months of self-employment with the subsequent period. This analysis aims to underscore the fiscal changes that occur as Ján transitions from the introductory phase of his business into a more established operational phase. Additionally, this part introduces Tomáš, another Slovak self-employed individual working in Germany, setting the stage for a comparative analysis between different tax jurisdictions in subsequent sections.

Financial Setup

- **Gross income:** €40,000 annually
- **Taxable Deductions:** €17,200 annually, covering business-related expenses such as fuel, promotional items, and tools.

Jan's contributions for the first 12 months as self-employed

During the first 12 months, Ján benefits from specific fiscal allowances that significantly reduce his financial burden. This section will detail the initial tax setup, minimal health insurance requirements, and the absence of mandatory social insurance contributions. Calculations will show the direct impact on his net income and overall financial health during this introductory phase.

- **Health insurance contributions:** €1,173.60 annually (€97.80 per month)
- **Social insurance contributions:** €0 (exempt in the first year)
- **Net taxable income:** €21,626.40 (after deductions)
- **Non-taxable base:** €4,922.82

Income tax calculation:

$$(\text{€}40,000 - \text{€}17,200 - \text{€}1,173.60 - \text{€}4,922.82) \times 19\% = \text{€}3,173.68$$

Net profit after tax and contributions:

$$\text{€}40,000 - \text{€}17,200 - \text{€}1,173.60 - \text{€}3,173.68 = \text{€}18,452.72$$

Alternative financial setup with flat-rate expenses

In Slovakia, self-employed individuals such as Ján have the opportunity to deduct flat-rate expenses, a financial setup that can prove more advantageous in certain scenarios. For instance, if you're a self-employed individual who is not a VAT payer or only pays VAT for part of the tax period, you can claim flat-rate expenses at 60% of your total business income, with a cap at a maximum of €20,000. This can significantly reduce your tax burden and increase your net profit. . (Výdavky percentom z príjmov)

Income tax calculation with Flat-Rate expenses:

$$(\text{€}40,000 - \text{€}20,000 - \text{€}1,173.60 - \text{€}4,922.82) \times 19\% = \text{€}2,641.68$$

Net Profit after tax and contributions with Flat-Rate expenses:

$$\text{€}40,000 - \text{€}20,000 - \text{€}1,173.60 - \text{€}2,641.68 = \text{€}16,184.72$$

This alternative approach shows that flat-rate expenses can lead to a different tax burden and net profit. In Ján's case, while the income tax payable is lower when using flat-rate expenses (€2,641.68 compared to €3,173.68), the net profit is also reduced to €16,184.72 compared to €18,452.72 when using actual costs. This is because the flat-rate expense cap of €20,000 is higher than his actual business-related expenses of €17,200, which increases his taxable income.

5.1.1 Subsequent years with assumed constant income and expenses

After the first year, Ján encounters a shift in his fiscal responsibilities as standard rates for social and health contributions kick in. This section will compare these new obligations to his initial setup, highlighting the increased costs and their effects on his net profit. This comparative approach clarifies the financial transition and emphasizes the importance of preparedness for escalated expenses.

Assuming Ján's financial circumstances remain constant, the contribution structure changes after the first year. After the first year, Ján must begin making social insurance contributions, significantly impacting his financial outcomes. We calculate the assessment base using income and contributions from the previous year, adjusted by the coefficient of 1.486.

Assessment base for tax:

$$(\text{€}40,000 - \text{€}17,200 - \text{€}1,173.60)/1.486 = \text{€}14,553.43$$

Social Insurance Contributions:

- Pension insurance: 18% of €14,553.43 = €2,619.62
 - Disability insurance: 6% of €14,553.43 = €873.21
 - Sickness insurance: 4.4% of €14,553.43 = €640.35
 - Solidarity reserve fund: 4.75% of €14,553.43 = €691.33
-

Total social contributions: €4,824.51 annually

Health insurance:

15% of assessment base = €2,183.01 annually

Income tax calculation:

$$(\text{€}40,000 - \text{€}17,200 - \text{€}2,183.01 - \text{€}4,824.51 - \text{€}4,922.82) \times 19\% = \text{€}2,065.24$$

Net profit after tax and contributions with flat rate:

$$\text{€}40,000 - \text{€}17,200 - \text{€}2,183.01 - \text{€}4,824.51 - \text{€}2,065.24 = \text{€}13,727.24$$

Income tax calculation with Flat-Rate expenses:

$$(\text{€}40,000 - \text{€}20,000 - \text{€}2,183.01 - \text{€}4,824.51 - \text{€}4,922.82) \times 19\% = \text{€}1,533.23$$

Net profit after tax and contributions with flat rate:

$$€40,000 - €17,200 - €2,183.01 - €4,824.51 - €1,533.23 = €14,259.25$$

The financial analysis of Ján's first and subsequent years of self-employment in Slovakia presented in this section offers valuable insights into the dynamic financial landscape self-employed individuals face. Initially, Ján benefits from significant tax relief and minimal health insurance requirements, which afford him a relatively higher net profit during his first year of business. It is mainly due to the absence of mandatory social insurance contributions and a lower health insurance premium, which collectively reduce his financial burden and provide a more favourable startup environment.

5.2 Financial analysis of Tomáš's self-employment in Slovakia while working in Germany

This section expands the financial narrative to Tomáš, a Slovak self-employed individual working in Germany. We will analyze the impact of his extended work period in Germany on his fiscal responsibilities. Unlike Ján, Tomáš faces a different set of tax obligations and health insurance costs based on German regulations due to his long-term work engagement exceeding 183 days.

Financial setup

Tomáš mirrors Ján in terms of financial figures, with a gross income of €40,000 and deductible business-related expenses totalling €17,200 annually. This parallel directly compares fiscal impacts under Slovak and German tax regulations. In Germany, Tomáš can decide who will be his health insurance provider. In our case study, he chose a company with a health insurance rate of 14.9%.

Fiscal conditions in Germany

Tomáš's work duration in Germany categorizes him under German tax obligations due to his status involving a permanent establishment. Despite this, his social insurance contributions remain in Slovakia, supported by the PD A1 document.

Health insurance:

$$14,9\% \text{ of taxable income (€22,800) = €3,397.20}$$

Income tax calculation:

Tax Rate: The tax rate increases linearly from 14% to 42% within the income range of €11,605 to €57,918. The rate increase per additional euro of income is calculated by dividing the total rate increase (28%) by the range width (46,313 €), resulting in approximately 0.0605 percentage points per euro.

$$\text{Tax rate} = \frac{42\% - 14\%}{€57\,918 - €11\,605} = \frac{28\%}{€46\,313} = 0,0605\%$$

$$\text{Income tax: } ((€40,000 - €17,200 - €3,397.20) * 0,0605 = €1,174.96$$

Net profit after tax and contributions:

$$€40,000 - €17,200 - €3,397.20 - €1,174.96 = €18,227.84$$

5.3 Summary

This comparative analysis of Ján and Tomáš's financial responsibilities as self-employed individuals in Slovakia and Germany underscores the significant impact of national tax systems on self-employment. The study highlights the stark differences in how

these two countries manage tax and social contributions, affecting individuals operating within these frameworks' net income and financial planning.

Key insights:

- **Tax and contribution disparities:** Ján enjoys more favourable tax conditions during his first year in Slovakia due to lower initial social insurance contributions and tax relief measures, which is not mirrored in Germany, where Tomáš faces consistent and higher fiscal obligations from the outset. This disparity reflects the more supportive environment for starting self-employed individuals in Slovakia compared to Germany.
- **Long-term financial implications:** For Ján, the transition from lower initial contributions to standard rates poses significant challenges that could impact his financial stability if not properly managed. In contrast, Tomáš's situation in Germany demonstrates a stable yet demanding fiscal environment from the beginning, emphasizing the need for thorough initial financial planning.
- **Impact of different Health Insurance Systems:** Germany and Slovakia's compulsory versus optional health insurance systems illustrate how national policies can influence personal financial decisions and responsibilities.

Implications for policy and practice:

- **Support for Start-ups:** Slovakia's initial tax relief and lower health insurance requirements may encourage entrepreneurial activities. However, the sudden increase in fiscal obligations after the first year could deter long-term business sustainability. Policymakers might consider smoothing these transitions to support sustained self-employment growth.
- **Harmonization of EU tax policies:** This analysis also suggests a potential benefit in harmonizing some aspects of EU tax and social contribution policies to reduce the administrative and financial burden on self-employed individuals working across borders.

Future research directions:

Further research could expand on this comparative analysis by incorporating more countries or different income brackets to explore the implications of EU-wide tax policy differences on self-employed individuals. Additionally, longitudinal studies could provide deeper insights into how individuals like Ján and Tomáš adapt to changing fiscal environments over extended periods, offering valuable lessons for policymakers and potential self-employed individuals.

Table recap:

To conclude this chapter, a detailed table of the critical differences between Ján and Tomáš's contributions has been provided below to summarize the comparative analysis visually. This table is a quick reference for understanding the financial impacts discussed throughout this section.

By providing these insights, this study not only aids current and prospective self-employed individuals in making informed decisions about their business operations and locations but also offers policymakers data-driven feedback on the effectiveness of current tax systems and potential areas for reform.

Table 3: Key differences between Jan’s and Tomáš’s contributions

Aspect	Ján (Slovakia)	Tomáš (Germany)
Health Insurance	Minimal initial rates; increases after the first year.	Higher rates from the outset; choice of provider.
Social Insurance	No contributions in the first year; standard rates subsequently.	Higher contributions aligned with income.
Income Tax	Progressive, from 19% to 25%.	Progressive, from 14% to 42%, with additional surcharges.
Tax Benefits	Initial tax relief for new businesses.	No initial relief; consistent high tax burden.
Regulatory Complexity	Lower in initial years; increases post-first year.	High complexity due to dual-country regulations.
Net Profit	Higher in the first year, decreases subsequently.	Generally lower due to higher contributions and taxes.

Source: Sukupčák, Key differences between Jan’s and Tomáš’s contributions, 2024.

6 RESULTS AND DISCUSSION

This chapter focuses on the critical aspects related to the operations of Slovak companies in Germany, particularly in the context of mobile work and service provision. The results indicate that Slovak companies face challenges in understanding and navigating Germany and the EU's complex legal and tax environment. Emphasis is placed on proper documentation and adherence to legal and tax regulations to optimise business within the Single European Market.

Legislative requirements: The research confirmed that a correct understanding and adherence to German and European legislative requirements are crucial for the success of Slovak companies in Germany. It was found that frequent changes in regulations require continuous monitoring and adaptation. Companies must invest in legal expertise or collaborate with local legal advisors to stay compliant and avoid potential fines and legal challenges.

Tax burden and obligations: The analysis revealed specific details about the tax burden for Slovak businesses and self-employed individuals in Germany, including significant differences from Slovakia. For example, while Germany's corporate tax structure may appear more complex, it offers potential benefits such as deductions and incentives not available in Slovakia. Understanding these differences is essential for financial planning and can influence decisions on where to establish operations or how to structure transactions.

Common errors and their prevention: Standard errors, such as incorrect employee work hours, incorrect holiday record reporting, and tax calculation mistakes, were identified. To prevent these issues, companies should use advanced software solutions that comply with German regulations. These tools can automate and simplify reporting, ensuring accuracy and timeliness in compliance matters. Training sessions for staff on regulatory requirements and using these systems are also advised to minimise human error.

Risk of non-compliance: The risks associated with non-compliance were highlighted as potentially severe, including heavy penalties and damage to business reputation. Companies are encouraged to establish robust internal audit processes to review

compliance with German and EU regulations regularly. This proactive approach helps identify potential issues before they become problematic and ensures that the business can adapt to legal changes effectively.

Strategic recommendations: To mitigate these challenges, it is recommended that Slovak companies:

- Engage with local legal and tax professionals to ensure accurate interpretation and application of the laws.
- Invest in training programs for their management and operational teams to enhance their understanding of the German business environment.
- Implement and regularly update compliance and risk management systems to reflect the latest legal and tax developments.

In conclusion, while Slovak companies face notable challenges in Germany, these can be managed effectively with the right strategies and tools. Proper legal and tax planning, ongoing education, and compliance monitoring are crucial to leveraging the opportunities offered by the EU's integrated market.

6.1 Comparison with literature overview

The findings of this study corroborate the insights from the literature overview regarding the challenges faced by companies operating in international markets, particularly within the context of globalisation and the regionalisation of legal and tax systems. Authors such as Kenton (2021) and Koikkalainen (2011) emphasise that correctly navigating international legal standards is critical for success in the global market. These authors highlight how evolving legal environments impact businesses, underscoring that firms must continually adapt to remain competitive and compliant.

In our analysis, we referenced the work of Barslund & Matthias (2014), who discuss the implications of labour mobility within the EU for businesses. Their insights into the administrative and regulatory challenges provided a valuable framework for understanding the complexities faced by Slovak companies in Germany. This comparison validates our findings and enriches the discourse by linking practical business challenges with

broader socio-economic trends, thereby demonstrating our research's real-world relevance and applicability.

However, during our analysis, simplifications and limitations were necessary. For instance, the quantitative data were limited to available statistics, which might have influenced the depth and breadth of our conclusions.

6.2 Future research implications

While this study has laid the groundwork for understanding the intersection of business operations and international legal frameworks, further research could deepen our understanding of specific aspects of this issue. Future studies might explore the long-term impacts of these legal and tax challenges on business sustainability and growth. There is also a notable gap in research regarding the direct comparisons of business experiences across different EU states, which could provide deeper insights into the efficacy of EU policies on labour mobility and market integration.

Additionally, more detailed empirical studies could investigate the specific strategies that successful companies employ to navigate the international legal complexities highlighted by scholars like Kenton and Barslund & Matthias. It would extend the scholarly discussion and provide actionable guidance for businesses grappling with these challenges.

7 RECOMMENDATIONS

Strategic business planning and compliance:

- **Continuous education and awareness:** Slovak companies must continue educating about the German legal environment and EU regulations. Staying updated through legal advisories, workshops, and partnerships with educational institutions is crucial for leveraging market opportunities and maintaining compliance.
- **Regular consultations with experts:** Businesses can ensure security and protection by consulting local legal and tax professionals. These experts provide the necessary guidance to navigate complex trade laws and tax systems, thereby helping to prevent legal challenges and fines.
- **Strategic partnerships and networking:** Building relationships with business associations and industry peers can provide insights and support in managing compliance and operational challenges. These networks can also facilitate collective advocacy for favourable regulatory changes.
- **Adaptation to regulatory changes:** Establishing an internal compliance team to monitor and adapt to regulatory changes can help integrate compliance smoothly into daily operations, minimizing disruptions and ensuring ongoing adherence to laws.

Utilization of technology:

- Companies are encouraged to implement advanced software solutions that can automate and simplify compliance and reporting processes. Such technologies ensure accuracy and adherence to German regulations, streamlining operations and reducing the margin for error.

Management Training:

- **Comprehensive training programs:** Companies should invest in comprehensive training programs that cover the breadth of the regulatory landscape in Germany and the EU. These programs should include detailed sessions on specific legal compliance, tax regulations, and operational procedures that impact daily business functions.
- **Skill development:** Training should also focus on developing employees' critical thinking and decision-making skills. By simulating real-world scenarios, employees can practice navigating complex situations, which can improve their ability to handle regulatory challenges effectively.
- **Regular updates and refresher courses:** Given the dynamic nature of legal and tax environments, businesses should implement regular updates and refresher courses to keep management and staff informed about the latest changes. This approach ensures that all team members are up-to-date and can respond proactively to new regulations.
- **Utilization of external experts:** Bringing in external legal and tax experts to conduct specialized workshops can provide deeper insights and foster a better understanding among staff about the nuances of the German market.
- **E-Learning and digital training tools:** Utilizing digital platforms for e-learning can offer flexible and scalable options for training employees, making it easier to integrate into their work schedules and allowing them to learn at their own pace.

Policy advocacy:

- Companies should actively participate in policy advocacy to push to harmonise EU tax policies. Such efforts could help reduce the administrative burden on businesses operating across borders, fostering a more integrated European market.

Future research:

- Future studies should explore the long-term impacts of legal and tax challenges on business sustainability and growth within the EU. Understanding these dynamics can help businesses better prepare and adapt to ongoing changes.
- Researchers are encouraged to investigate the implications of EU-wide tax policy differences on self-employed individuals. Including more countries or different income brackets in such studies could provide a more comprehensive understanding of the EU's fiscal landscape.

Future research directions:

- **Comparative studies:** Expanding this analysis to include a broader range of EU countries would benefit future research. This would provide more extensive insight into how different national tax systems affect businesses, enriching the current understanding of cross-border operations.
- **Longitudinal studies:** There is a valuable opportunity for longitudinal studies that monitor businesses over extended periods. Such research can offer deeper insights into how companies adapt to regulatory changes and navigate the challenges posed by international business environments.
- **Impact on business strategies:** Additional research might focus on the specific strategies that successful companies employ to navigate the international legal complexities highlighted in this study. This focus could yield actionable guidance for businesses expanding their operations across the EU, enhancing their strategic planning and operational effectiveness.

8 CONCLUSION

This thesis has examined the regulatory landscape of the European Union with a focused lens on the operational challenges and opportunities for Slovak businesses active in Germany, especially concerning the freedoms of services and labour mobility. This exploration aimed to clarify the complex legal and tax obligations that encumber businesses, offering them actionable intelligence to navigate the European Single Market more adeptly and effectively.

The objectives outlined in the introduction were comprehensively met as the research provided an extensive analysis of the requisite legal documentation and fiscal responsibilities vital for Slovak enterprises operating internationally. The study was remarkably detailed in its dissection of Slovakia and Germany's comparative tax burdens and social security frameworks through in-depth case studies of individuals such as Ján and Tomáš. This comparative analysis did not just elucidate the fiscal differences between the two nations but also highlighted the strategic decisions businesses must evaluate when expanding across borders.

The contributions of this thesis to the fields of international business and European market operations are significant. Firstly, it offers a clear and updated guide on the fiscal and regulatory expectations for Slovak businesses in Germany, significantly enriching the academic literature with empirical, data-driven insights. Secondly, the thesis provides a deeper understanding of the impact of EU policies on business operations, particularly in terms of tax obligations and social security requirements, which are crucial for strategic business planning and financial management.

In addition, this thesis transcends its initial academic goals by providing substantial insights into the practical complexities of transnational business operations within the EU. Its findings contribute to a more nuanced understanding of the interplay between business strategy and regulatory compliance. This thesis offers a detailed overview of how businesses can navigate and leverage the European Single Market to their advantage.

The implications of this research are profound, providing a foundation for future academic inquiry and policy formulation.

The recommendations derived from this study not only suggest pathways for further research but also aim to enhance the practical application of theoretical knowledge in real-world settings. This dual approach ensures that the insights from this study are practically applicable, assisting businesses in making informed decisions that align with current regulations and future trends.

Furthermore, this thesis proposes developing educational strategies to better equip business leaders and policymakers with the tools necessary to understand and engage with the EU's complex regulatory environment. By fostering a more profound comprehension of these dynamics, the thesis supports the development of more effective strategies for managing cross-border business operations, thereby enhancing the overall competitiveness of Slovak businesses within the European Union.

In summary, this thesis not only achieves its set objectives by providing an exhaustive exploration of the legal and tax environments affecting Slovak businesses in Germany but also reiterates the significance of its findings through substantial contributions to both academic and practical realms. The enriched understanding and new insights it offers have the potential to guide further research initiatives and refine educational practices, thereby enhancing the efficacy and applicability of international business operations within the European Union.

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